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System thinking

When a government gets involved in the working of society at the level of detail, this tends to go wrong. If a government is shaping products and processes, and favouring one technology over another, we are doing something wrong. If a government is ‘picking winners’—one firm over another, one industry over another, one technical standard over another—we are doing something wrong. We have to be sceptical about engineers bearing industrial policy. Social engineering works badly as the real world is too complex, intervention is ridden with unanticipated effects and state capacity is limited. The most advanced economies do the least industrial policy.

The government should restrict itself to addressing market failure, while being mindful to only pick a few battles given its low capabilities. The economy and society should evolve as a self-organizing system, driven by the innovations of free men and women.

Solving coordination problems

There are, however, some situations in which there is a cautious case for ‘system thinking’ in public policy. System thinking addresses traditional market failures, in the form of asymmetric information, externalities and market power. In fields such as healthcare and pensions, where consumer behaviour may suffer from limited rationality, there is a greater case for